

Notice I'm not including gym fees or streaming services here. That's because they are discretionary spending and they belong in your everyday account.

Savings Account: Next we work out the amount you need to transfer regularly to your savings account. This will be the amount you figured out in your twelve-month plan.

For some of you, rather than saving, your twelve-month plan might be paying off credit card debt or splitting between paying off debt and creating a buffer account. That's okay too. Notice we're doing the savings amount second? If you're serious about the life you're designing and you're excited about the goals you've set, you need to prioritise this amount rather than just save what's left over after you've allocated absolutely everything else.

Everyday Account: Ideally, your salary will be split by your employer directly to your bills, savings and everyday bank accounts. However, if your employer won't make these separate payments, your entire salary will be paid here and automated payments will be made to the other accounts the same day. The balance left over after these automated payments are made (or that is transferred here directly by your employer because they're splitting up your salary for you) is your money to spend on everything else: groceries, entertainment, eating out, coffees, gym membership, clothes, hairdressers, travel and more. If there's not enough left over in this account to see you through to the next pay day, then you can look at what you have allocated to the other bank accounts, reconsider your spending, or come up with ways to add more income to your pot or even split up your bank accounts further.

The trick is to not resort to credit cards or to raid your other bank accounts. Instead, when the everyday account is empty, that's it! It's time to head back to living like a university student (or maybe how you lived when you first moved out of home) for the few days until your next pay cycle. Remember when you had to eat rice and beans for days at a time because that's all you could afford? Somewhere along the way you stopped doing that and started handing over the plastic and putting your wants on credit. It's time to break that habit. This method only works if you limit your discretionary spending to what's in your everyday account and leave